

BUSINESS INSIGHTS AND RECOMMENDATIONS REPORT

Introduction

The Superstore analysis provides several important insights into sales growth, profitability, customer behaviour, product performance, regional performance and discount effectiveness.

The business generated approximately **\$2.30 million in sales and \$286.40 thousand in profit**, with an overall profit margin of **12.47%**. Although the overall performance is positive, the analysis identifies several areas where management can improve profitability and business performance.

Key Business Insights

1. Overall Sales Performance Is Strong and Improving

The business generated approximately \$2.30 million in total sales.

Although sales declined by approximately 2.83% in 2015, sales increased by 29.47% in 2016 and another 20.36% in 2017.

Sales increased from approximately \$470,533 in 2015 to approximately \$733,215 in 2017.

Business implication: The company is experiencing strong long-term growth and should continue investing in the products, markets and strategies responsible for this growth.

2. Technology Is the Strongest Category

Technology generated approximately **\$836,154 in sales and \$145,455 in profit**, making it the strongest category.

Furniture generated approximately \$742,000 in sales but only \$18,451 in profit.

Business implication: Management should maintain adequate inventory of high-performing Technology products and consider targeted marketing campaigns for products with strong margins.

3. Furniture Has a Significant Profitability Problem

Furniture generates approximately **\$742,000 in sales but only \$18,451 in profit**.

This means that the category generates substantial revenue without producing a comparable level of profit.

Recommendation: Management should review Furniture pricing, supplier costs, discounts and product mix. Particular attention should be given to Tables and Bookcases.

4. Consumer Customers Are the Most Valuable Segment

The Consumer segment generated approximately **\$1.16 million in sales and \$134,119 in profit**.

Corporate generated approximately \$706,146 in sales and \$91,979 in profit, while Home Office generated approximately \$429,653 in sales and \$60,299 in profit.

Business implication: Consumer customers are the company's largest revenue and profit contributor and should remain a major focus of marketing and customer-retention strategies.

5. West Is the Strongest Region

The West region generated approximately **\$725,458 in sales and \$108,418 in profit**, making it the strongest regional performer.

The Central region generated approximately \$501,240 in sales but only \$39,706 in profit.

Business implication: Management should investigate the factors contributing to West's success and determine whether successful strategies can be applied to weaker regions.

6. Excessive Discounts Reduce Profitability

The average discount across transactions is approximately **15.62%**.

The analysis shows that discounts of 30% or more are associated with negative profit. Transactions at these discount levels generated approximately \$362,770 in sales but a combined loss of approximately \$135,376.

Business implication: The company should review its discount policy and avoid excessive discounts unless there is a clear strategic reason.

7. Tables Are a Major Profitability Problem

The Tables sub-category generated approximately **\$206,966 in sales but a loss of \$17,725**.

This makes Tables the largest loss-making sub-category.

Business implication: Management should review pricing, supplier costs, discount levels and product demand for Tables before increasing sales volume.

8. Some High-Sales Customers Are Not Highly Profitable

Sean Miller generated approximately **\$25,043 in sales but a loss of approximately \$1,981**.

In contrast, Tamara Chand generated approximately \$19,052 in sales and \$8,981 in profit.

Business implication: Customer performance should be evaluated using both sales and profit. High revenue customers should not automatically be considered high-value customers.

9. Sales Are Strongest Toward the End of the Year

November generates approximately **\$352,461 in sales**, while December generates approximately **\$325,294**.

The fourth quarter is also consistently one of the strongest periods.

Recommendation: Management should prepare inventory, staffing and marketing campaigns ahead of the fourth quarter to take advantage of seasonal demand.

Business Recommendations

1. Introduce Stronger Discount Controls

Management should review discounts of 30% and above because these discount levels are associated with significant losses.

Discount approval thresholds could be introduced for high-value transactions, with exceptions requiring management approval.

2. Review Loss-Making Products

Products with consistently negative profit should be investigated individually.

Management should review:

Purchase cost, Selling price, Discount levels, Shipping or operating costs, Customer demand, Product replacement options.

Loss-making products should either be repriced, discounted less aggressively, renegotiated with suppliers or discontinued where appropriate.

3. Improve Furniture Profitability

Furniture produces high sales but relatively low profit.

Management should analyse the cost and pricing structure of Furniture products, especially Tables and Bookcases.

The objective should be to improve the category's profit margin rather than simply increase sales volume.

4. Replicate Successful West Region Strategies

The West region is the strongest regional performer.

Management should investigate its product mix, customer composition, discount levels and sales practices and determine which strategies can be transferred to Central and South.

5. Increase Investment in High-Profit Products

Products such as the Canon imageCLASS 2200 Advanced Copier generate strong profit.

The company should consider maintaining adequate stock levels and targeted promotions for products with strong margins and consistent demand.

6. Prepare for Seasonal Demand

Sales are particularly strong toward the end of the year, especially in November and December.

Management should prepare inventory, staffing and marketing campaigns before these high-demand periods.

Conclusion

The Superstore analysis demonstrates that the company has a strong overall business position, but significant opportunities exist to improve profitability.

The most important priorities are controlling excessive discounts, reviewing loss-making products, improving Furniture profitability, learning from the successful West region and focusing on customers and products that generate sustainable profit.

By using the Power BI dashboard and the developed KPIs, management can continuously monitor these areas and make evidence-based decisions.